NQM FUNDING

UPDATES

Below please find a summary of updates for the Flex NonQM and DSCR Matrices and Guidelines. These updates must be implemented for all applications and locks as of **November 3, 2025.**

GUIDELINES AND MATRICES – Updated as follows:

- **Second Lien Select** – New second lien program being introduced
    - Available for Delegated Correspondent only
    - Piggyback and Stand Alone options available
    - Max Loan amount $1,000,000
    - Max Combined Lien Balance $4,000,000
    - AVM and Property Condition Report only up to $400,000
    - Max CLTV 85%
    - Minimum Credit Score 700
    - Available on Primary, Second Homes and Investment Properties
    - Full, Alt Doc and DSCR Options Available
- **Second Lien – Closed End** – Program has been retired and replaced with the Second Lien Select offering
- **Flex Select** – Updated as follows:
    - Clarified that subordinate financing is permitted on investment properties only when used in conjunction with the Second Lien Select Program.
- **Select ITIN**– Updated as follows:
    - Minimum score for Second Homes and ITINs is 680; the same as it is for primary residences.
    - Maximum loan amount on Investment properties in the 680 bucket is capped at $1,500,000; the same as it is for primary residences and second homes.
- **DSCR Supreme & Investor DSCR** – The Qualifying Score has been updated as follows:
    - For Individual Borrowers:
        - When there are multiple borrowers, use the highest representative score.
    - For Entity Vesting:
        - Use the representative score for the borrower/guarantor with the highest percentage of ownership. For equal ownership, use the highest representative score.
        - Minimum of 25% ownership for each borrower/guarantor required.
    - Minimum score of 640 is required for all borrowers.
- **Investor DSCR** – Updated as follows:
    - Clarified that subordinate financing is permitted only when used in conjunction with the Second Lien Select Program.
- **Foreign National** – Updated as follows:
    - Increased the max LTV on a Purchase and Rate/Term Refi with a 700+ score to 70% with a loan amount up to $2,000,000.
    - Increased the max LTV on a Purchase and Rate/Term Refi with Foreign Credit to 65% with a loan amount up to $2,000,000.
    - Increased the max LTV on a Cash Out with Foreign Credit to 60% with a loan amount up to $2,000,000.
- **Delayed Financing:**
    - Clarified that the appraised value may be used for LTV purposes, subject to any restrictions in the properties listed for sale section of the guide.
- **Subordinate Financing:**
    - Clarified that subordinate financing is permitted on investment transactions when closed in conjunction with the Second Lien select program.

- Added Ineligible First Lien criteria that must be met when the new loan is a subordinate lien.

- **Borrowers/Guarantors:**
  - Added language in the guide to refer to guarantors interchangeably with borrowers.
  - Updated the Ineligible Borrowers section to include individuals on the Excluded Party Lists.
- **Entity Vesting:**
  - Replaced the term borrower with guarantor in the Entity Signature Requirements section.
- **Tradelines:**
  - Clarified that Stand-Alone Second Lien Select loans must meet the minimum tradeline requirement.
- **Limited Tradelines:**
  - Clarified that there are no additional tradeline requirements provided the guidelines in this section are met.
- **Rent Free:**
  - Not permitted with Second Lien Select program.
- **Self-Employed Full Doc:**
  - Eliminated the need for two months of business bank statements to document income. A YTD P&L is still required, but only if the tax return date is more than 120 days from the Note Date. The Self-Employed Verification of Employment will validate continued business existence within 30 days of the Note Date.
- **Ratios and Qualifying:**
  - Added a Second Lien Select Senior Lien Qualifying Terms section detailing out how to qualify the payment when the first is an Interest Only or ARM loan.
- **DSCR Mixed and Multi 5-10 Unit Occupancy Requirements:**
  - Updated to require a maximum of 3 vacant units on a purchase of a 7+ unit property. Any vacant unit must be either actively listed or have a recently executed lease in place. In addition, all units must be in lease-ready condition.
- **Assets, use of Certificates of Deposit:**
  - Certificates of Deposits are eligible for closing costs, reserves, or asset utilization subject to the following guidance:
    - Value to be calculated at 100% of the pre-maturity surrendering value of the CD, minus any penalty that has been accumulated upon early withdrawal.
- **Interested Party Contributions:**
  - Clarified that IPCs are not permitted on Stand Alone Second Liens
- **Rent Loss Insurance:**
  - Clarified that to waive rent loss insurance on the DSCR Supreme or Investor DSCR Programs, the additional three months of reserve requirement cannot be satisfied with cash out proceeds.